

1. Nature of Internal Audit

Meaning of Internal Audit

An internal audit in strategic management is a systematic examination of an organisation's internal environment, resources, capabilities, strengths, and weaknesses.

It helps management understand:

- What the organisation does well
- Where the organisation is weak
- Which resources provide competitive advantage
- What capabilities need improvement
- Whether the organisation is prepared to achieve its strategic objectives

Internal audit focuses mainly on factors that are within the control of the organisation.

Simple Definition

Internal audit is the process of identifying and evaluating an organisation's internal strengths and weaknesses to support strategic decision-making.

Objectives of Internal Audit

The main objectives are:

1. Identify strengths

- Strong brand image
- Skilled employees
- Good financial position
- Advanced technology

2. Identify weaknesses

- High costs
- Poor management
- Outdated technology
- Weak distribution network

3. Evaluate resources

- Financial resources
- Human resources
- Physical resources
- Technological resources

4. Evaluate organisational capabilities

5. Identify competitive advantages

6. Improve strategic decision-making

7. Match internal capabilities with external opportunities

8. Develop strategies based on organisational strengths

Areas Covered by Internal Audit

A strategic internal audit generally examines six major functional areas:

1. Management

Examines:

- Planning
- Organising
- Staffing
- Directing
- Controlling
- Leadership

2. Marketing

Examines:

- Product quality
- Pricing
- Promotion
- Distribution
- Customer service

- **Market share**
- **Brand image**

3. Finance and Accounting

Examines:

- **Profitability**
- **Liquidity**
- **Cash flow**
- **Debt**
- **Capital structure**
- **Investment capacity**

4. Production and Operations

Examines:

- **Production efficiency**
- **Capacity utilisation**
- **Quality control**
- **Inventory management**
- **Supply chain**

5. Research and Development

Examines:

- **Innovation**
- **New product development**
- **Technology**
- **Research capability**

6. Management Information Systems

Examines:

- **Information systems**
- **Data quality**
- **Cybersecurity**

- IT infrastructure
 - Decision-support systems
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Importance of Internal Audit

Internal audit helps an organisation to:

- Understand its current position
 - Identify core competencies
 - Improve resource utilisation
 - Reduce weaknesses
 - Develop competitive advantage
 - Formulate realistic strategies
 - Allocate resources effectively
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2. Key Internal Forces

Internal forces are factors within an organisation that influence its strategic performance.

The major internal forces are:

1. Management

Effective management provides:

- Clear direction
- Strategic planning
- Decision-making
- Leadership
- Coordination

Poor management may lead to:

- Conflicts
- Poor performance
- Resource wastage
- Strategic failure

2. Marketing

Marketing determines how effectively an organisation satisfies customer needs.

Important factors include:

- **Product quality**
- **Product range**
- **Pricing**
- **Advertising**
- **Sales force**
- **Distribution**
- **Customer relationships**
- **Brand reputation**

Example:

A company with a strong brand and loyal customers has an internal strength.

3. Finance

Financial strength determines an organisation's ability to implement strategies.

Important factors include:

- **Revenue**
- **Profitability**
- **Cash flow**
- **Working capital**
- **Debt**
- **Return on investment**

A financially strong company can invest in:

- **New technology**
- **Expansion**
- **Research**

- **Marketing**
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4. Human Resources

Employees are a major source of organisational capability.

Important factors include:

- **Employee skills**
 - **Experience**
 - **Training**
 - **Motivation**
 - **Leadership**
 - **Employee retention**
 - **Organisational commitment**
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5. Operations

Operations determine how efficiently products or services are delivered.

Factors include:

- **Production capacity**
 - **Quality**
 - **Cost efficiency**
 - **Technology**
 - **Inventory**
 - **Supply chain**
 - **Productivity**
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6. Research and Development

R&D supports innovation and long-term competitiveness.

It helps organisations develop:

- **New products**

- New services
 - New technologies
 - Improved processes
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7. Information Systems

Modern organisations depend on information systems for:

- Data management
 - Decision-making
 - Communication
 - Customer management
 - Business analytics
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8. Organisational Culture

Culture includes:

- Values
- Beliefs
- Norms
- Behaviour
- Work practices

A positive culture can encourage:

- Innovation
 - Teamwork
 - Employee commitment
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3. The Internal Audit Process

The internal audit process is a systematic process used to identify the strengths and weaknesses of an organisation.

Step 1: Define the Purpose

First, the organisation determines why the internal audit is being conducted.

For example:

- **Strategic planning**
 - **Performance improvement**
 - **Competitive analysis**
 - **Organisational restructuring**
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Step 2: Collect Information

Information is collected from:

- **Financial statements**
 - **Employee records**
 - **Marketing reports**
 - **Customer feedback**
 - **Operational data**
 - **Management reports**
 - **Performance indicators**
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Step 3: Analyse Functional Areas

The organisation evaluates:

- **Management**
 - **Marketing**
 - **Finance**
 - **Operations**
 - **HR**
 - **R&D**
 - **Information systems**
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Step 4: Identify Strengths

Strengths are internal factors that give an organisation an advantage.

Examples:

- **Strong brand**
 - **Skilled workforce**
 - **Strong financial position**
 - **Advanced technology**
 - **Loyal customers**
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Step 5: Identify Weaknesses

Weaknesses are internal factors that reduce organisational performance.

Examples:

- **High operating costs**
 - **Poor employee retention**
 - **Weak distribution**
 - **Outdated technology**
 - **Poor financial performance**
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Step 6: Evaluate Resources and Capabilities

The organisation examines whether its resources and capabilities provide a competitive advantage.

This is closely related to the Resource-Based View (RBV).

Step 7: Prioritise Key Factors

Not every strength or weakness is equally important.

The organisation identifies the factors that have the greatest strategic impact.

Step 8: Develop the IFE Matrix

The important internal factors are evaluated using the Internal Factor Evaluation Matrix.

Step 9: Develop Strategic Recommendations

Based on the audit, management decides:

- **Which strengths to utilise**
 - **Which weaknesses to correct**
 - **Which resources to develop**
 - **Which strategies to pursue**
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4. Resource-Based View (RBV)

Meaning

The Resource-Based View (RBV) is a strategic management approach that states that an organisation can achieve sustained competitive advantage by possessing and effectively using valuable internal resources and capabilities.

The main idea is:

Competitive advantage comes not only from external market conditions but also from the unique resources and capabilities of the organisation.

Types of Resources

1. Tangible Resources

These are physical and financial resources.

Examples:

- **Buildings**
 - **Machinery**
 - **Equipment**
 - **Cash**
 - **Land**
 - **Technology infrastructure**
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2. Intangible Resources

These are non-physical assets.

Examples:

- **Brand reputation**
 - **Patents**
 - **Copyrights**
 - **Customer loyalty**
 - **Organisational culture**
 - **Business knowledge**
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3. Human Resources

These include:

- **Employee knowledge**
 - **Skills**
 - **Experience**
 - **Creativity**
 - **Leadership ability**
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4. Organisational Resources

These include:

- **Systems**
 - **Processes**
 - **Structure**
 - **Policies**
 - **Organisational culture**
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VRIO Framework

The RBV is commonly analysed using the VRIO framework.

VRIO stands for:

V – Valuable

Does the resource help the organisation exploit opportunities or reduce threats?

R – Rare

Is the resource possessed by only a few competitors?

I – Inimitable

Is it difficult or costly for competitors to copy?

O – Organised

Is the organisation properly organised to exploit the resource?

VRIO Example

Suppose a company has a highly trusted brand.

VRIO Question	Answer
Valuable?	Yes
Rare?	Yes
Difficult to imitate?	Yes

Organisation capable of exploiting it? Yes

This can result in a sustained competitive advantage.

Importance of RBV

RBV helps organisations:

- **Identify core competencies**
 - **Understand competitive advantages**
 - **Develop unique capabilities**
 - **Allocate resources effectively**
 - **Build long-term strategies**
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5. Integrating Strategy and Culture

Meaning of Organisational Culture

Organisational culture refers to the shared:

- **Values**
- **Beliefs**
- **Attitudes**
- **Norms**
- **Behaviour**
- **Practices**

of people within an organisation.

Strategy

Strategy refers to the long-term plan used by an organisation to achieve its objectives and gain competitive advantage.

Relationship Between Strategy and Culture

Strategy answers:

"Where do we want to go?"

Culture answers:

"How do people in the organisation behave while getting there?"

A strategy cannot be successfully implemented if organisational culture does not support it.

Importance of Strategy-Culture Fit

A strong alignment between strategy and culture helps:

- **Improve strategy implementation**
- **Increase employee commitment**
- **Reduce resistance to change**
- **Improve communication**
- **Encourage innovation**
- **Increase organisational performance**

Example

Suppose a company wants to follow an innovation strategy.

It needs a culture that encourages:

- **Creativity**
- **Experimentation**
- **Risk-taking**
- **Open communication**
- **Learning from failure**

If the organisation has a culture that punishes mistakes and discourages new ideas, the innovation strategy is unlikely to succeed.

Steps to Integrate Strategy and Culture

1. Understand Existing Culture

Identify current values, behaviours, and practices.

2. Identify Strategic Requirements

Determine what culture is needed to implement the strategy.

3. Identify Cultural Gaps

Compare existing culture with the desired culture.

4. Communicate the Strategic Vision

Explain the strategy clearly to employees.

5. Align HR Practices

Modify:

- **Recruitment**
- **Training**
- **Rewards**
- **Performance management**

6. Leadership Support

Leaders must demonstrate the desired behaviours.

7. Monitor and Improve

Regularly evaluate whether culture supports the strategy.

6. SWOT Analysis

Meaning

SWOT Analysis is a strategic planning tool used to identify:

- **S – Strengths**
- **W – Weaknesses**
- **O – Opportunities**
- **T – Threats**

It analyses both the internal and external environment.

SWOT Framework

Internal Factors External Factors

Strengths Opportunities

Weaknesses Threats

Strengths and Weaknesses = Internal

Opportunities and Threats = External

1. Strengths

Strengths are internal factors that give an organisation an advantage.

Examples:

- **Strong brand**
- **Skilled employees**
- **Good financial position**
- **Advanced technology**

- Loyal customers
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2. Weaknesses

Weaknesses are internal limitations.

Examples:

- High costs
 - Poor management
 - Weak technology
 - Lack of skilled employees
 - Poor customer service
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3. Opportunities

Opportunities are external conditions that an organisation can exploit.

Examples:

- New markets
 - Technological developments
 - Changing customer preferences
 - Government support
 - Growing demand
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4. Threats

Threats are external factors that can negatively affect an organisation.

Examples:

- New competitors
- Economic recession
- Changing regulations
- Technological disruption
- Rising costs

SWOT Strategies

SO Strategy

Use Strengths to exploit Opportunities.

WO Strategy

Overcome Weaknesses by using Opportunities.

ST Strategy

Use Strengths to reduce or overcome Threats.

WT Strategy

Minimise Weaknesses and avoid Threats.

Example: SWOT of a Bank

Strengths

- **Strong brand**
- **Large customer base**
- **Wide branch network**

Weaknesses

- **High operating costs**
- **Slow traditional processes**

Opportunities

- **Digital banking**
- **Mobile payments**
- **Financial inclusion**

Threats

- **Fintech companies**
- **Cybersecurity risks**
- **Strong competition**

Strategic Implication

The bank can use its strong customer base and brand to expand digital banking services.

7. Value Chain Analysis

Meaning

Value Chain Analysis was developed by Michael Porter.

It is a strategic tool used to examine the activities an organisation performs to determine where value is created and where costs can be reduced.

The basic idea is:

An organisation gains competitive advantage by performing value-creating activities more effectively or at lower cost than competitors.

Two Types of Activities

A. Primary Activities

These are directly involved in creating and delivering products or services.

1. Inbound Logistics

Activities related to receiving and storing inputs.

Examples:

- **Raw material handling**
- **Warehousing**
- **Inventory management**

2. Operations

Converting inputs into finished products or services.

Examples:

- **Manufacturing**
- **Assembly**
- **Processing**

3. Outbound Logistics

Activities involved in delivering products to customers.

Examples:

- **Distribution**
- **Warehousing**
- **Order processing**

4. Marketing and Sales

Activities that attract customers.

Examples:

- **Advertising**
- **Pricing**
- **Promotion**
- **Sales**

5. Service

Activities performed after the sale.

Examples:

- **Customer support**
- **Repairs**
- **Maintenance**
- **Warranty services**

B. Support Activities

1. Firm Infrastructure

Includes:

- **Finance**
- **Accounting**
- **Legal**
- **Planning**
- **General management**

2. Human Resource Management

Includes:

- Recruitment
- Training
- Compensation
- Employee development

3. Technology Development

Includes:

- Research
- Innovation
- IT
- Product development

4. Procurement

Includes purchasing:

- Raw materials
- Equipment
- Technology
- Office supplies

Importance of Value Chain Analysis

It helps organisations:

- Identify cost advantages
- Improve efficiency
- Identify sources of differentiation
- Improve business processes
- Increase customer value
- Gain competitive advantage

8. Benchmarking

Meaning

Benchmarking is the process of comparing an organisation's performance, processes, products, or practices with those of leading organisations or industry standards to identify areas for improvement.

Simple Definition

Benchmarking means learning from the best practices of others and using them to improve organisational performance.

Types of Benchmarking

1. Internal Benchmarking

Comparison between departments, branches, or units within the same organisation.

Example: Comparing performance of two branches of a bank.

2. Competitive Benchmarking

Comparison with direct competitors.

Example: A bank comparing its digital banking services with another bank.

3. Functional Benchmarking

Comparison of a specific function with organisations in different industries.

Example: A bank comparing its customer service process with a leading airline.

4. Generic Benchmarking

Comparison of general business processes across different industries.

Benchmarking Process

Step 1: Identify What to Benchmark

Example:

- **Customer service**
- **Cost**
- **Productivity**

- **Quality**

Step 2: Identify Benchmarking Partners

Select:

- **Competitors**
- **Industry leaders**
- **Internal departments**

Step 3: Collect Data

Gather performance information.

Step 4: Compare Performance

Identify performance gaps.

Step 5: Analyse Best Practices

Understand why the best-performing organisation performs better.

Step 6: Implement Improvements

Adopt suitable best practices.

Step 7: Monitor Results

Measure whether performance has improved.

Benefits of Benchmarking

- **Improves performance**
 - **Identifies best practices**
 - **Reduces costs**
 - **Improves quality**
 - **Encourages continuous improvement**
 - **Helps set realistic performance standards**
 - **Increases competitiveness**
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9. Internal Factor Evaluation (IFE) Matrix

Meaning

The Internal Factor Evaluation (IFE) Matrix is a strategic management tool used to evaluate an organisation's major internal strengths and weaknesses.

It provides a quantitative summary of internal strategic factors.

Purpose of IFE Matrix

It helps management:

- **Identify important strengths**
 - **Identify important weaknesses**
 - **Assign importance to each factor**
 - **Evaluate organisational performance**
 - **Develop strategies based on internal conditions**
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Steps to Prepare IFE Matrix

Step 1: Identify Key Internal Factors

List major:

- **Strengths**
- **Weaknesses**

Usually, around 10–20 key factors are identified.

Step 2: Assign Weight

Each factor receives a weight between:

0.0 to 1.0

The total weight must equal:

1.00

The weight indicates the importance of the factor.

Step 3: Assign Rating

Each factor receives a rating from:

1 to 4

Rating Meaning

- | | |
|----------|-----------------------|
| 1 | Major weakness |
| 2 | Minor weakness |
| 3 | Minor strength |
| 4 | Major strength |
-

Step 4: Calculate Weighted Score

Formula:

Weighted Score = Weight × Rating

Step 5: Calculate Total Weighted Score

Add all weighted scores.

The total score normally ranges from:

1.0 to 4.0

The average score is:

2.5

Interpretation of IFE Score

Score above 2.5

The organisation has a relatively strong internal position.

Score below 2.5

The organisation has a relatively weak internal position.

Score around 2.5

The organisation has an average internal position.

Example of IFE Matrix

Suppose a company has the following factors:

Internal Factor	Weight	Rating	Weighted Score
Strong brand reputation	0.20	4	0.80
Skilled employees	0.15	4	0.60
Strong financial position	0.10	3	0.30
Good customer loyalty	0.10	3	0.30
High operating costs	0.15	2	0.30
Outdated technology	0.15	1	0.15
Weak distribution network	0.10	2	0.20
High employee turnover	0.05	2	0.10
Total	1.00		2.75

Interpretation

The company's total IFE score is 2.75.

Since $2.75 > 2.5$, the organisation has a relatively strong internal position.

The company should use its strengths, such as:

- Strong brand
- Skilled employees
- Financial strength

while improving weaknesses such as:

- Outdated technology
- High operating costs
- Weak distribution

10. Difference Between SWOT and IFE Matrix

Basis	SWOT Analysis	IFE Matrix
Meaning	Analyses internal and external factors	Evaluates internal factors

Basis	SWOT Analysis	IFE Matrix
Factors	Strengths, Weaknesses, Opportunities, Threats	Strengths and Weaknesses
Nature	Mainly qualitative	Quantitative
Weight	Usually not mandatory	Mandatory
Rating	Not always used	Rating from 1 to 4
Score	No total score required	Total weighted score calculated
Purpose	Overall strategic analysis	Internal strategic evaluation

11. Difference Between Internal Audit and IFE Matrix

Internal Audit	IFE Matrix
Broad examination of internal environment	Quantitative evaluation of key internal factors
Identifies strengths and weaknesses	Assigns weights and ratings
Covers functional areas	Focuses on selected strategic factors
Mainly analytical	Numerical
Used as an input for strategy formulation	Summarises internal strategic position

12. Integrated Strategic Analysis Process

These concepts are interconnected and can be understood as a strategic process:

Internal Audit



Identify Internal Strengths & Weaknesses



Analyse Resources and Capabilities using RBV



Identify Core Competencies



Examine Strategy-Culture Fit



Conduct SWOT Analysis



Perform Value Chain Analysis



Use Benchmarking to Identify Performance Gaps



Prepare IFE Matrix



Develop Strategic Alternatives



Implement Strategy

Important Exam Points

Internal Audit

A systematic evaluation of an organisation's internal resources, capabilities, strengths, and weaknesses.

Internal Forces

The major internal forces include management, marketing, finance, HR, operations, R&D, information systems, and organisational culture.

RBV

The Resource-Based View states that sustainable competitive advantage comes from valuable, rare, difficult-to-imitate resources that the organisation is organised to exploit.

VRIO

V = Valuable

R = Rare

I = Inimitable

O = Organised

Strategy and Culture

Strategy determines where an organisation wants to go, while culture influences how employees behave to achieve strategic goals.

SWOT

S = Strengths

W = Weaknesses

O = Opportunities

T = Threats

Strengths and Weaknesses → Internal

Opportunities and Threats → External

Value Chain

Porter's Value Chain consists of Primary Activities and Support Activities and helps identify sources of cost advantage and differentiation.

Benchmarking

Benchmarking means comparing organisational performance and practices with best-performing organisations or standards to identify improvement opportunities.

IFE Matrix

The IFE Matrix evaluates internal strengths and weaknesses using weights, ratings, and weighted scores.

Weighted Score = Weight × Rating

Total Score > 2.5 → Strong internal position

Total Score < 2.5 → Weak internal position

Total Score = 2.5 → Average internal position